



TO SELL USING THIS STRATEGY, TAKE THE FOLLOWING STEPS:

Open a charting software.

Select a security you want to trade.

Set the chart on a 5-minute timeframe.

Look for a price consolidation.

Look for the 9-EMA crossing the 21-EMA from above.

Wait for the price to break the support.

SELL below the breakdown candle.

Place **STOPLOSS** above the swing high or at the high of the breakdown candle.

The **TARGET** is at the projected support or price reversal.

Risk to Reward ratio is 1:2 on average.

As you can see in the above figure, the market struggled to move in either direction and formed a symmetrical triangle pattern. Although a symmetrical triangle indicates the price can move in either direction, at the edge of the symmetrical triangle, the 9-EMA was below the 21-EMA. This pointed out that the market was in favour of a downside move. According to our strategy, all the criteria were satisfied except a breakdown candle. After a while, the market finally broke on the downside and we got our selling entry. The stoploss was above the 9 & 21 EMA and at the previous swing high. With this strategy, the expected Risk to Reward ratio is 1:2, but we booked our profit with almost 1:4 Risk to Reward ratio.

THE TAKEAWAY

No strategy has ever been successful without a proper plan and timing. The art of trading lies in having the simplest of the systems. Always aim to build and follow simple trading systems and avoid the analysis paralysis.

